

2

The Recording Process

Learning Objectives

1

Describe how accounts, debits, and credits are used to record business transactions.

2

Indicate how a journal is used in the recording process.

3

Explain how a ledger and posting help in the recording process.

4

Prepare a trial balance.

The Account



An account is a record used in accounting to track increases and decreases in a specific item such as assets, liabilities, capital, income, or expenses. It shows the history of transactions related to that item over a period of time.

Debit (Dr) : Debit is an entry made on the left side of an account that increases assets and expenses and decreases liabilities, owner's equity, and revenues.

Credit (Cr) : Credit is an entry made on the right side of an account that increases liabilities, owner's equity, and revenues and decreases assets and expenses.

An account can be illustrated in a T-account form.



Account Name	
Debit / Dr.	Credit / Cr.

- ◆ Debit = "Left"
- ◆ Credit = "Right"

The Account

DEBIT AND CREDIT PROCEDURES

Double-entry system

- ◆ Every business transaction affects two or more accounts to maintain the balance of the basic accounting equation

(Assets = Liabilities + Owner's Equity).

- ◆ Each transaction is recorded by debiting at least one account and crediting at least one other account.

- ◆ **The total amount of debits must always equal the total amount of credits..**

Debits and Credits

If the sum of Debit entries are **greater than** the sum of Credit entries, the account will have a debit balance.

Account Name		
	Debit / Dr.	Credit / Cr.
Transaction #1	\$10,000	\$3,000
Transaction #3	8,000	
Balance	\$15,000	

Debit and Credit do NOT mean good or bad, plus or minus. They only tell which side of the account is used.

Debits and Credits

If the sum of Credit entries are **greater than** the sum of Debit entries, the account will have a credit balance.

Account Name		
Debit / Dr.	Credit / Cr.	
Transaction #1	\$10,000	Transaction #2
	\$3,000	Transaction #3
	8,000	
Balance	\$1,000	

Debits and Credits

Assets	
Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter 3-23

- ◆ **Assets** - The debit side should exceed the credit side.
- ◆ **Liabilities** – The credit side should exceed the debit side.
- ◆ **Normal balance-** The side on which an account increases is called its normal balance.

Liabilities	
Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter 3-24

Debits and Credits

Owner's Equity	
Debit / Dr.	Credit / Cr.
↓	↑
	Normal Balance

Chapter 3-25

- ◆ Owner's investments and revenues increase owner's equity (credit).
- ◆ Owner's drawings and expenses decrease owner's equity (debit).

Owner's Capital	
Debit / Dr.	Credit / Cr.
↓	↑
	Normal Balance

Chapter 3-25

Owner's Drawing	
Debit / Dr.	Credit / Cr.
↑	↓
Normal Balance	

Chapter 3-23

Helpful Hint Because revenues increase owner's equity, a revenue account has the same debit/credit rules as the Owner's Capital account. Expenses have the opposite effect.

Debits and Credits

Revenue	
Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter 3-26

Expense	
Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter 3-27

- ◆ The purpose of earning **revenues** is to benefit the owner(s).
- ◆ The effect of debits and credits on revenue accounts is the **same as** their effect on Owner's Capital.
- ◆ Expenses have the opposite effect: expenses decrease owner's equity.

Debits/Credits Rules

Normal
Balance
Debit

Normal
Balance
Credit

Liabilities

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Assets

Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter
3-23

Owner's Equity

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-25

Expense

Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter
3-27

Revenue

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-26

Debits/Credits Rules

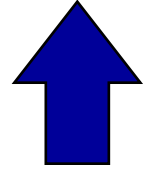
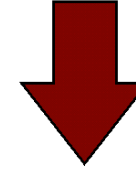
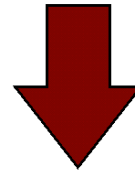
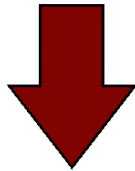
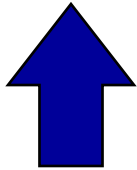
Balance Sheet

Asset = Liability + Equity

Income Statement

Revenue - Expense

Debit



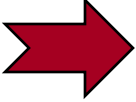
Credit



Debits/Credits Rules

Question

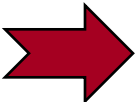
Debits:

- a. increase both assets and liabilities.
- b. decrease both assets and liabilities.
-  c. increase assets and decrease liabilities.
- d. decrease assets and increase liabilities.

Debits/Credits Rules

Question

Accounts that normally have debit balances are:

- a. assets, expenses, and revenues.
- b. assets, expenses, and equity.
- c. assets, liabilities, and owner's drawing.
-  d. assets, owner's drawing, and expenses.

Summary of Debit/Credit Rules

Relationship among the assets, liabilities and owner's equity of a business:

Illustration 2-11

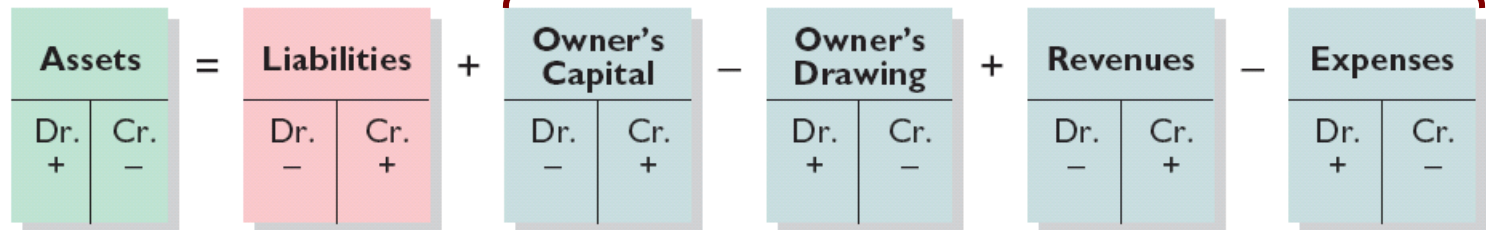
Basic Equation

Assets = Liabilities +

Owner's Equity

Expanded Equation

Debit/Credit Effects



The equation must be in balance after every transaction. Total Debits must equal total Credits.

DO IT!

1

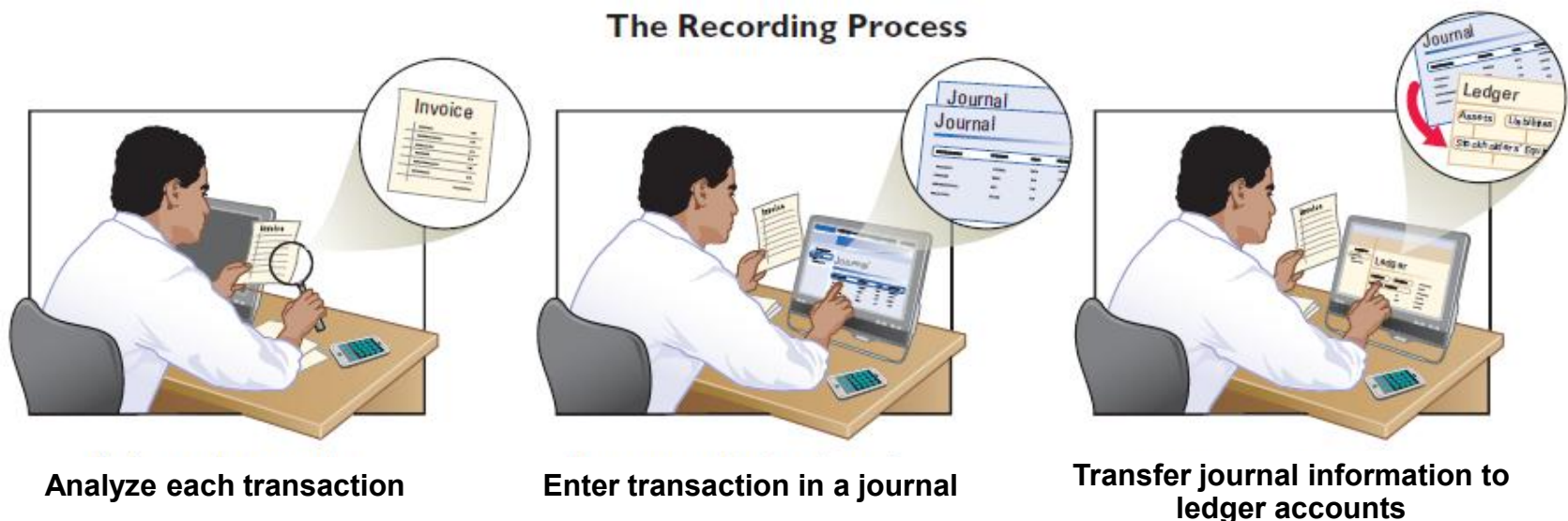
Normal Account Balances

Kate Browne has just rented space in a shopping mall. In this space, she will open a hair salon to be called “Hair It Is.” A friend has advised Kate to set up a double-entry set of accounting records in which to record all of her business transactions. Identify the balance sheet accounts that Kate will likely need to record the transactions needed to open her business. Indicate whether the normal balance of each account is a debit or a credit.

Assets	Liabilities	Equity
Cash (debit)	Notes payable (credit)	Owner’s Capital (credit)
Supplies (debit)	Accounts payable	
Equipment (debit)	(credit)	

Steps in the Recording Process

Illustration 2-12



Business documents, such as a sales slip, a check, or a bill, provide evidence of the transaction.

Steps in the Recording Process

The Journal

A journal is the book of original entry in accounting. It is where business transactions are recorded first, in chronological (date-wise) order, before they are posted to the ledger.

- ◆ Book of original entry.
- ◆ Transactions recorded in chronological order.
- ◆ Contributions to the recording process:

Shows full effect of each transaction: The journal clearly shows how a transaction affects different accounts (both debit and credit).

Keeps transactions in date order: All transactions are recorded chronologically, making it easy to track events over time.

Helps find and prevent errors: Since debit and credit amounts are recorded together, they can be easily compared to check for mistakes.

Steps in the Recording Process

JOURNALIZING - Entering transaction data in the journal.

Illustration: On September 1, Ray Neal invested \$15,000 cash in the business, and Softbyte purchased computer equipment for \$7,000 cash.

Illustration 2-13

GENERAL JOURNAL				
Date	Account Title	Ref.	Debit	Credit
Sept. 1	Cash		15,000	
	Owner's Capital			15,000
	Equipment		7,000	
	Cash			7,000

Steps in the Recording Process

SIMPLE AND COMPOUND ENTRIES

Illustration: On July 1, Butler Company purchases a delivery truck costing \$14,000. It pays \$8,000 cash now and agrees to pay the remaining \$6,000 on account.

Illustration 2-14
Compound journal entry

GENERAL JOURNAL				
Date	Account Title	Ref.	Debit	Credit
July 1	Equipment		14,000	
	Cash			8,000
	Accounts payable			6,000



© flyfloor/iStockphoto

Boosting Microsoft's Profits

Microsoft originally designed the Xbox 360 to have 256 megabytes of memory. But the design department said that amount of memory wouldn't support the best special effects. The purchasing department said that adding more memory would cost \$30—which was 10% of the estimated selling

price of \$300. The marketing department, however, "determined that adding the memory would let Microsoft reduce marketing costs and attract more game developers, boosting royalty revenue. It would also extend the life of the console, generating more sales."

As a result of these changes, Xbox enjoyed great success. But, it does have competitors. Its newest video game console,

Xbox One, is now in a battle with **Sony's** Playstation4 for market share. How to compete? First, Microsoft bundled the critically acclaimed *Titanfall* with its Xbox One. By including the game most Xbox One buyers were going to purchase anyway, Microsoft was making its console more attractive. In addition, retailers are also discounting the Xbox, which should get the momentum going for increased sales. What Microsoft is doing is making sure that Xbox One is the center of the home entertainment system in the long run, even if it suffers a bit of a hardware loss today.

Sources: Robert A. Guth, "New Xbox Aim for Microsoft: Profitability," *Wall Street Journal* (May 24, 2005), p. C1; and David Thier, "Will Microsoft Give the Xbox One a \$50 Price Cut?," *www.Forbes.com* (March 26, 2014).

In what ways is this Microsoft division using accounting to assist in its effort to become more profitable? (Go to www.wiley.com/college/weygandt for the answer and further analysis.)

Kate Browne engaged in the following activities in establishing her salon, Hair It Is:

1. Opened a bank account in the name of Hair It Is and deposited \$20,000 of her own money in this account as her initial investment.
2. Purchased equipment on account (to be paid in 30 days) for a total cost of \$4,800.
3. Interviewed three persons for the position of hair stylist.

Prepare the entries to record the transactions.

Prepare the entries to record the transactions.

1. Opened a bank account and deposited \$20,000.

Cash	20,000	
Owner's Capital		20,000

2. Purchased equipment on account (to be paid in 30 days) for a total cost of \$4,800.

Equipment	4,800	
Accounts Payable		4,800

3. Interviewed three persons for the position of hair stylist.

No entry

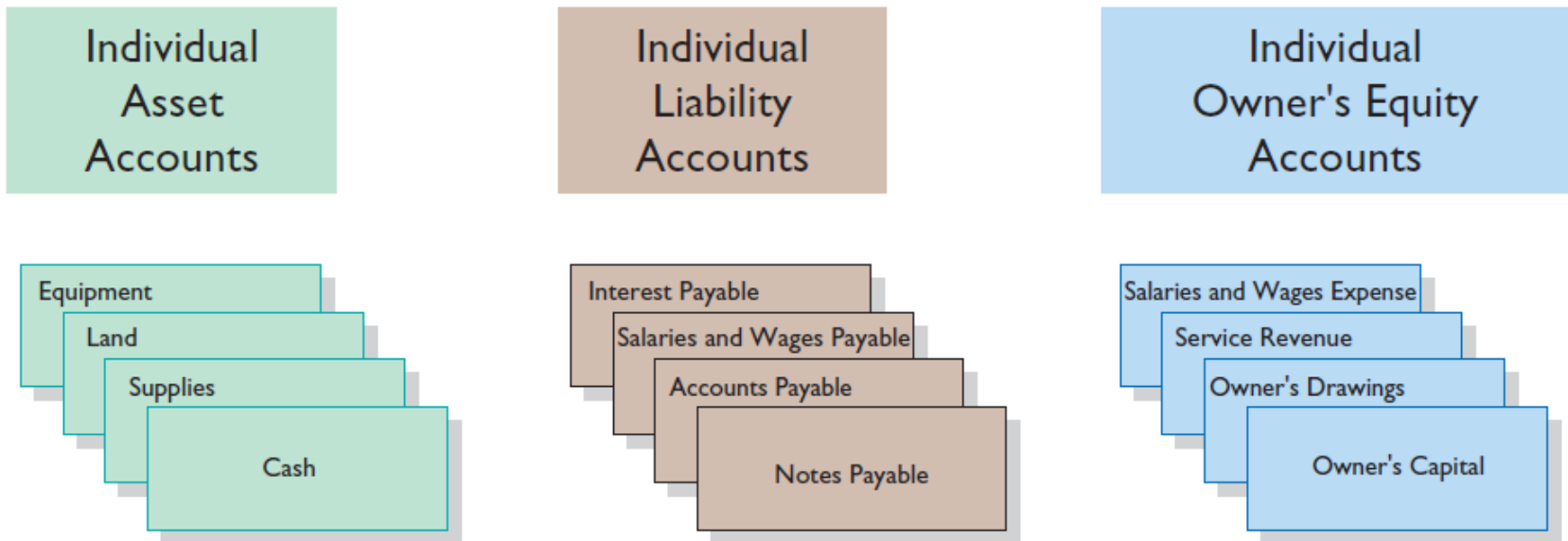
Explain how a ledger and posting help in the recording process.

The Ledger is the main book of accounts in accounting. It contains all individual accounts of a business, where transactions recorded in the journal are posted and classified.

The Ledger

- ◆ **General Ledger contains all the asset, liability, and owner's equity accounts.**

Illustration 2-15





© Nuno Silva/iStockphoto

A Convenient Overstatement

Sometimes a company's investment securities suffer a permanent decline in value below their original cost. When this occurs, the company is supposed to reduce the recorded value of the securities on its balance sheet ("write-them down" in common financial lingo) and record a loss. It appears, however, that during the financial crisis of 2008, employees at some financial institutions chose to look the other way as the value of their investments skidded.

A number of Wall Street traders that worked for the investment bank **Credit Suisse Group** were charged with

intentionally overstating the value of securities that had suffered declines of approximately \$2.85 billion. One reason that they may have been reluctant to record the losses is out of fear that the company's shareholders and clients would panic if they saw the magnitude of the losses. However, personal self-interest might have been equally to blame—the bonuses of the traders were tied to the value of the investment securities.

Source: S. Pulliam, J. Eaglesham, and M. Siconolfi, "U.S. Plans Changes on Bond Fraud," *Wall Street Journal Online* (February 1, 2012).

What incentives might employees have had to overstate the value of these investment securities on the company's financial statements? (Go to www.wiley.com/college/weygandt for the answer and further analysis.)

The Ledger

STANDARD FORM OF ACCOUNT

Illustration 2-16
Three-column form
of account

CASH					NO. 101
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
June 1			25,000		25,000
2				8,000	17,000
3			4,200		21,200
9			7,500		28,700
17				11,700	17,000
20				250	16,750
30				7,300	9,450

Ledger

POSTING

Transferring
journal entries
to the ledger
accounts.

GENERAL JOURNAL					J1
Date	Account Titles and Explanation	Ref.	Debit	Credit	
2017 Sept.1	Cash	101	15,000		
	Owner's Capital (Owner's investment of cash in business)	301		15,000	

GENERAL LEDGER					
Cash					No.101
Date	Explanation	Ref.	Debit	Credit	Balance
2017 Sept.1		J1	15,000		15,000

Owner's Capital					No.301
Date	Explanation	Ref.	Debit	Credit	Balance
2017 Sept.1		J1		15,000	15,000

Illustration 2-17
Posting a journal
entry

Key: **1** Post to debit account—date, journal page number, and amount.
2 Enter debit account number in journal reference column.
3 Post to credit account—date, journal page number, and amount.
4 Enter credit account number in journal reference column.

Posting

Question

Posting:

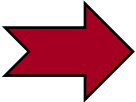
- a. normally occurs before journalizing.
- b. transfers ledger transaction data to the journal.
- c. is an optional step in the recording process.
-  d. transfers journal entries to ledger accounts.

Chart of Accounts

Illustration 2-18

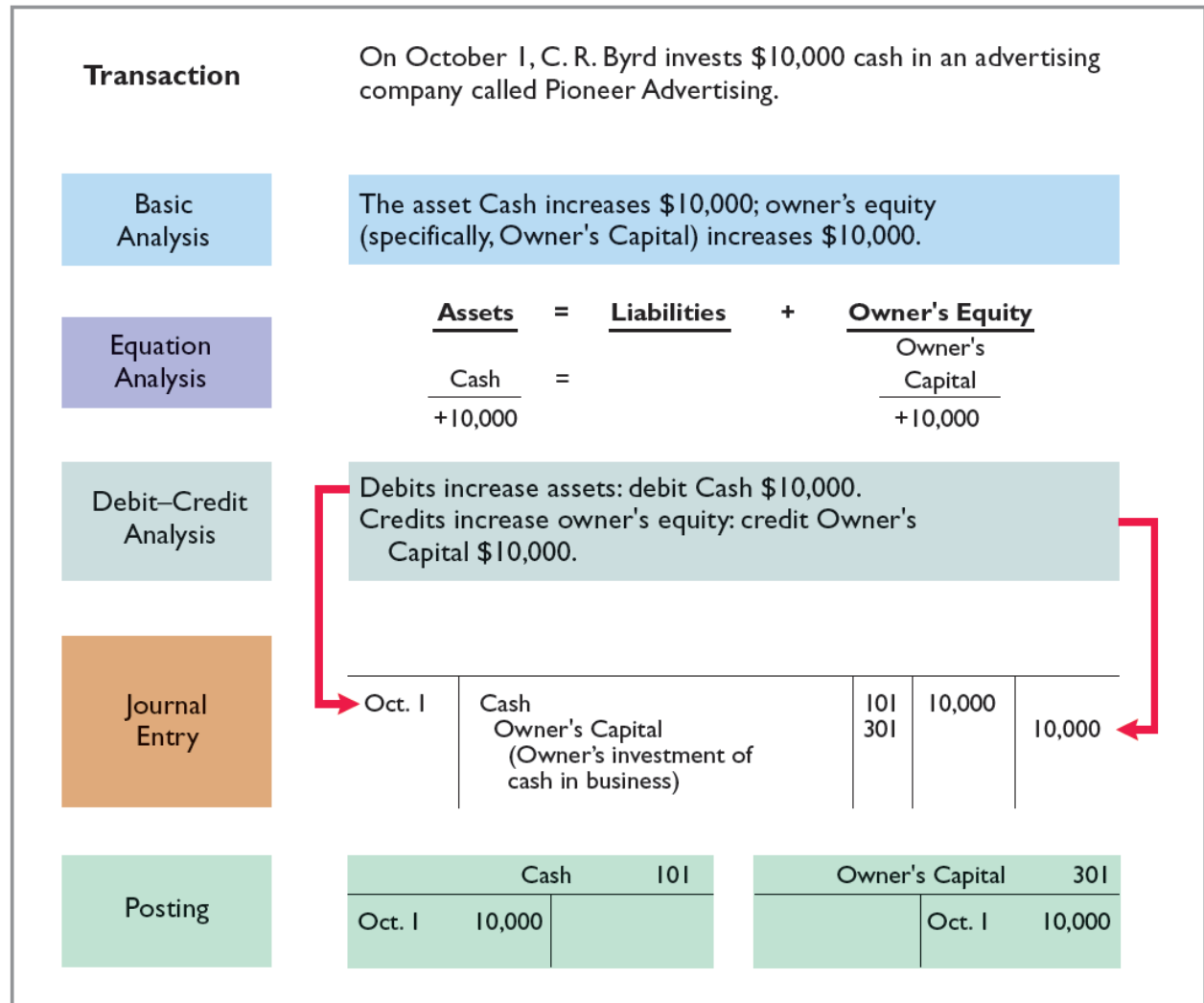
 PIONEER ADVERTISING Chart of Accounts	
Assets	Owner's Equity
101 Cash	301 Owner's Capital
112 Accounts Receivable	306 Owner's Drawings
126 Supplies	350 Income Summary
130 Prepaid Insurance	
157 Equipment	Revenues
158 Accumulated Depreciation—Equipment	400 Service Revenue
Liabilities	Expenses
200 Notes Payable	631 Supplies Expense
201 Accounts Payable	711 Depreciation Expense
209 Unearned Service Revenue	722 Insurance Expense
212 Salaries and Wages Payable	726 Salaries and Wages Expense
230 Interest Payable	729 Rent Expense
	732 Utilities Expense
	905 Interest Expense

The Recording Process Illustrated

Follow these steps:

1. Determine what type of account is involved.
2. Determine what items increased or decreased and by how much.
3. Translate the increases and decreases into debits and credits.

Illustration 2-19



Transaction

On October 1, Pioneer purchases office equipment costing \$5,000 by signing a 3-month, 12%, \$5,000 note payable.

Basic
Analysis

The asset Equipment increases \$5,000;
the liability Notes Payable increases \$5,000.

Equation
Analysis

$$\begin{array}{rcl}
 \text{Assets} & = & \text{Liabilities} + \text{Owner's Equity} \\
 \hline
 \text{Equipment} & = & \text{Notes Payable} \\
 +5,000 & & +5,000
 \end{array}$$

Debit–Credit
Analysis

Debits increase assets: debit Equipment \$5,000.
Credits increase liabilities: credit Notes Payable \$5,000.

Journal
Entry

Oct. 1	Equipment	157	5,000	
	Notes Payable	200		5,000
	(Issued 3-month, 12% note for office equipment)			

Posting

Equipment		157	Notes Payable		200
Oct. 1	5,000			Oct. 1	5,000

Illustration 2-20

Purchase of office equipment

Transaction

On October 2, Pioneer receives a \$1,200 cash advance from R. Knox, a client, for advertising services that are expected to be completed by December 31.

Basic Analysis

The asset Cash increases \$1,200; the liability Unearned Service Revenue increases \$1,200 because the service has not been performed yet. That is, when Pioneer receives an advance payment, it should record an unearned revenue (a liability) in order to recognize the obligation that exists. Note also that although most liabilities have the word “payable” in their title, unearned revenue is considered a liability because the liability is satisfied by providing a product or performing a service.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owner's Equity</u>
Cash	=	Unearned Service Revenue		
+1,200		+1,200		

Debit–Credit Analysis

Debits increase assets: debit Cash \$1,200.
Credits increase liabilities: credit Unearned Service Revenue \$1,200.

Journal Entry

Oct. 2	Cash	101	1,200	
	Unearned Service Revenue	209		1,200
	(Received cash from R. Knox for future service)			

Posting

Cash		101	Unearned Service Revenue		209
Oct. 1	10,000			Oct. 2	1,200
2	1,200				

Illustration 2-21 Receipt of cash for future service

Transaction

On October 3, Pioneer pays office rent for October in cash, \$900.

Basic Analysis

The expense account Rent Expense increases \$900 because the payment pertains only to the current month; the asset Cash decreases \$900.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owner's Equity</u>
Cash	=			Rent Expense
-900				-900

Debit–Credit Analysis

Debits increase expenses: debit Rent Expense \$900.
Credits decrease assets: credit Cash \$900.

Journal Entry

Oct. 3	Rent Expense	729	900	
	Cash	101		900
	(Paid October rent)			

Posting

Cash				Rent Expense	
		101			729
Oct. 1	10,000	Oct. 3	900	Oct. 3	900
2	1,200				

Illustration 2-22

Payment of monthly rent

Transaction

On October 4, Pioneer pays \$600 for a one-year insurance policy that will expire next year on September 30.

Basic Analysis

The asset Prepaid Insurance increases \$600 because the payment extends to more than the current month; the asset Cash decreases \$600. Payments of expenses that will benefit more than one accounting period are prepaid expenses or prepayments. When a company makes a payment, it debits an asset account in order to show the service or benefit that will be received in the future.

Illustration 2-23 Payment for insurance

Equation Analysis

Assets		=	Liabilities	+	Owner's Equity
Cash	+ Prepaid Insurance				
-600	+600				

Debit–Credit Analysis

Debits increase assets: debit Prepaid Insurance \$600.
Credits decrease assets: credit Cash \$600.

Journal Entry

Oct. 4	Prepaid Insurance	130	600	
	Cash	101		600
	(Paid one-year policy; effective date October 1)			

Posting

Cash				101	Prepaid Insurance		130
Oct. 1	10,000	Oct. 3	900		Oct. 4	600	
2	1,200	4	600				

Transaction

On October 5, Pioneer purchases an estimated 3-month supply of advertising materials on account from Aero Supply for \$2,500.

**Basic
Analysis**

The asset Supplies increases \$2,500; the liability Accounts Payable increases \$2,500.

**Equation
Analysis**

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owner's Equity</u>
Supplies	=	Accounts Payable		
+2,500		+2,500		

**Debit–Credit
Analysis**

Debits increase assets: debit Supplies \$2,500.
Credits increase liabilities: credit Accounts Payable \$2,500.

**Journal
Entry**

Oct. 5	Supplies	126	2,500	
	Accounts Payable	201		2,500
	(Purchased supplies on account from Aero Supply)			

Posting

Supplies			126
Oct. 5	2,500		

Accounts Payable			201
	Oct. 5	2,500	

Illustration 2-24

Purchase of supplies on credit

The Recording Process Illustrated

Event

On October 9, Pioneer hires four employees to begin work on October 15. Each employee is to receive a weekly salary of \$500 for a 5-day work week, payable every 2 weeks—first payment made on October 26.

Basic Analysis

A business transaction has not occurred. There is only an agreement between the employer and the employees to enter into a business transaction beginning on October 15. Thus, a debit–credit analysis is not needed because there is no accounting entry. (See transaction of October 26 for first entry.)

Illustration 2-25
Hiring of employees

Transaction

On October 20, C. R. Byrd withdraws \$500 cash for personal use.

Basic Analysis

The owner's equity account Owner's Drawings increases \$500; the asset Cash decreases \$500.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owner's Equity</u>
Cash	=			Owner's Drawings
-500				-500

Debit-Credit Analysis

Debits increase drawings: debit Owner's Drawings \$500.
Credits decrease assets: credit Cash \$500.

Journal Entry

Oct. 20	Owner's Drawings	306	500	
	Cash	101		500
	(Withdrew cash for personal use)			

Posting

Cash		101	
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
		20	500

Owner's Drawings		306	
Oct. 20	500		

Illustration 2-26

Withdrawal of cash by owner

Transaction

On October 26, Pioneer owes employee salaries of \$4,000 and pays them in cash. (See October 9 event.)

Basic Analysis

The expense account Salaries and Wages Expense increases \$4,000; the asset Cash decreases \$4,000.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owner's Equity</u>
Cash	=			Salaries and Wages Expense
-4,000				-4,000

Debit–Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense \$4,000.
Credits decrease assets: credit Cash \$4,000.

Journal Entry

Oct. 26	Salaries and Wages Expense	726	4,000	
	Cash	101		4,000
	(Paid salaries to date)			

Posting

Cash				Salaries and Wages Expense	
			101		726
Oct. 1	10,000	Oct. 3	900	Oct. 26	4,000
2	1,200	4	600		
		20	500		
		26	4,000		

Illustration 2-27
Payment of salaries

Transaction

On October 31, Pioneer receives \$10,000 in cash from Copa Company for advertising services performed in October.

Basic Analysis

The asset Cash increases \$10,000; the revenue account Service Revenue increases \$10,000.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owner's Equity</u>
Cash	=			Service Revenue
+10,000				+10,000

Debit–Credit Analysis

Debits increase assets: debit Cash \$10,000.
Credits increase revenues: credit Service Revenue \$10,000.

Journal Entry

Oct. 31	Cash	101	10,000	
	Service Revenue	400		10,000
	(Received cash for services performed)			

Posting

Cash				Service Revenue		
		101				400
Oct. 1	10,000	Oct. 3	900			
2	1,200	4	600			
31	10,000	20	500	Oct. 31	10,000	
		26	4,000			

Illustration 2-28

Receipt of cash for services performed

Summary Journalizing and Posting

Illustration 2-29

GENERAL JOURNAL				PAGE J1
Date	Account Titles and Explanation	Ref.	Debit	Credit
2017				
Oct. 1	Cash	101	10,000	
	Owner's Capital	301		10,000
	(Owner's investment of cash in business)			
1	Equipment	157	5,000	
	Notes Payable	200		5,000
	(Issued 3-month, 12% note for office equipment)			
2	Cash	101	1,200	
	Unearned Service Revenue	209		1,200
	(Received cash from R. Knox for future service)			
3	Rent Expense	729	900	
	Cash	101		900
	(Paid October rent)			

GENERAL JOURNAL

PAGE J1

Date	Account Titles and Explanation	Ref.	Debit	Credit
4	Prepaid Insurance	130	600	
	Cash	101		600
	(Paid one-year policy; effective date October 1)			
5	Supplies	126	2,500	
	Accounts Payable	201		2,500
	(Purchased supplies on account from Aero Supply)			
20	Owner's Drawings	306	500	
	Cash	101		500
	(Withdrew cash for personal use)			
26	Salaries and Wages Expense	726	4,000	
	Cash	101		4,000
	(Paid salaries to date)			
31	Cash	101	10,000	
	Service Revenue	400		10,000
	(Received cash for services performed)			

GENERAL LEDGER

Cash					No. 101
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1	10,000		10,000
2		J1	1,200		11,200
3		J1		900	10,300
4		J1		600	9,700
20		J1		500	9,200
26		J1		4,000	5,200
31		J1	10,000		15,200

Supplies					No. 126
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 5		J1	2,500		2,500

Prepaid Insurance					No. 130
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 4		J1	600		600

Equipment					No. 157
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1	5,000		5,000

Notes Payable					No. 200
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1		5,000	5,000

Accounts Payable					No. 201
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 5		J1		2,500	2,500

Unearned Service Revenue					No. 209
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 2		J1		1,200	1,200

Owner's Capital					No. 301
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1		10,000	10,000

Owner's Drawings					No. 306
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 20		J1	500		500

Service Revenue					No. 400
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 31		J1		10,000	10,000

Salaries and Wages Expense					No. 726
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 26		J1	4,000		4,000

Rent Expense					No. 729
Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 3		J1	900		900

Illustration 2-30

DO IT!

3

Posting

Kate Brown recorded the following transactions in a general journal during the month of March. Post these entries to the Cash account.

Mar. 4	Cash	2,280	
	Service Revenue		2,280
Mar. 15	Salaries and Wages Expense	400	
	Cash		400
Mar. 19	Utilities Expense	92	
	Cash		92

Cash	
3/1	600

Prepare a trial balance.



PIONEER ADVERTISING

Trial Balance

October 31, 2017

	<u>Debit</u>	<u>Credit</u>
Cash	\$ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		\$ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	<u>\$28,700</u>	<u>\$28,700</u>

Trial Balance

Limitations of a Trial Balance

Trial balance may balance even when:

1. A transaction is not journalized.
2. A correct journal entry is not posted.
3. A journal entry is posted twice.
4. Incorrect accounts are used in journalizing or posting.
5. Offsetting errors are made in recording the amount of a transaction.

ETHICS NOTE

An *error* is the result of an unintentional mistake; it is neither ethical nor unethical. An *irregularity* is an intentional misstatement, which *is* viewed as unethical.

Dollar Signs and Underlining

Dollar Signs

- ◆ Do not appear in journals or ledgers.
- ◆ Typically used only in the trial balance and the financial statements.
- ◆ Shown only for the first item in the column and for the total of that column.

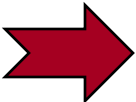
Underlining

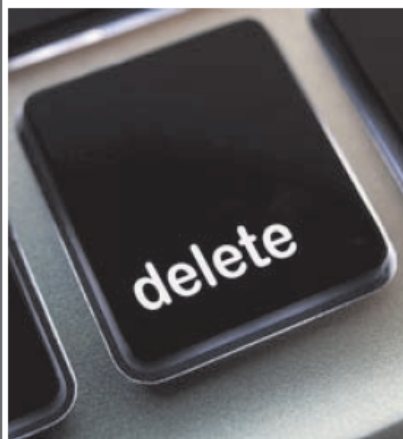
- ◆ A single line is placed under the column of figures to be added or subtracted.
- ◆ Totals are double-underlined.

Trial Balance

Question

A trial balance will not balance if:

- a. a correct journal entry is posted twice.
- b. the purchase of supplies on account is debited to Supplies and credited to Cash.
-  c. a \$100 cash drawing by the owner is debited to Owner's Drawing for \$1,000 and credited to Cash for \$100.
- d. a \$450 payment on account is debited to Accounts Payable for \$45 and credited to Cash for \$45.



Enviromatic/iStockphoto

Why Accuracy Matters

While most companies record transactions very carefully, the reality is that mistakes still happen. For example, bank regulators fined **Bank One Corporation** (now **Chase**) \$1.8 million because they felt that the unreliability of the bank's accounting system caused it to violate regulatory requirements.

Also, in recent years **Fannie Mae**, the government-chartered mortgage association, announced a series of large accounting errors. These announcements caused alarm among investors, regulators, and politicians because they fear that the errors may suggest larger, undetected problems. This is important because the home-mortgage

market depends on Fannie Mae to buy hundreds of billions of dollars of mortgages each year from banks, thus enabling the banks to issue new mortgages.

Finally, before a major overhaul of its accounting system, the financial records of **Waste Management Inc.** were in such disarray that of the company's 57,000 employees, 10,000 were receiving pay slips that were in error.

The Sarbanes-Oxley Act was created to minimize the occurrence of errors like these by increasing every employee's responsibility for accurate financial reporting.

In order for these companies to prepare and issue financial statements, their accounting equations (debits and credits) must have been in balance at year-end. How could these errors or misstatements have occurred? (Go to www.wiley.com/college/weygandt for the answer and further analysis.)

DO IT!

4

Trial Balance

The following accounts come from the ledger of SnowGo Company at December 31, 2017.

157	Equipment	\$88,000	301	Owner's Capital	\$20,000
306	Owner's Drawings	8,000	212	Salaries and Wages	
201	Accounts Payable	22,000		Payable	2,000
726	Salaries and Wages		200	Notes Payable	19,000
	Expense	42,000	732	Utilities Expense	3,000
112	Accounts Receivable	4,000	130	Prepaid Insurance	6,000
400	Service Revenue	95,000	101	Cash	7,000

Prepare a trial balance in good form.

DO IT!

4

Trial Balance

SNOWGO COMPANY

Trial Balance

December 31, 2017

Debit

Credit

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